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Study Notes

IFSCA-International Finance Services Centre-Fund Management Entities

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IFSCA has now notified the Final IFSCA (Fund Management) Regulations, 2022 ("FM Regulations"), effective from 19 May 2022.

- **A Fund Manager can undertake a host of activities related to fund management viz. manage retail schemes, and non-retail schemes, undertake portfolio management services or operate as a manager to various investment trusts by seeking a single unified registration from IFSCA**
- **Fund Management Entity ("FME") can be registered under three categories, depending upon the activity proposed to be undertaken (as provided in the table below)**
- FMEs are entities acting as pooling vehicles and are permitted to operate fund management schemes under any of the categories specified under the regulations. The concept of FME is equivalent to an Alternative Investment Fund (AIF) under the SEBI Regulations. **The primary advantage of setting up such an entity, essentially registering the fund manager, is that one does not have to seek registration of each individual fund/ scheme facilitating more efficient fund launches. An FME is required to register itself with the IFSCA under any one of the 3 categories – Authorised FME, Registered FME (Non-retail) and Registered FME (Retail).** A risk-based classification forms the basis for these categories and it is the category that decides the schemes that an FME may launch, and other applicable requirements. The Fund Management Regulations provide for net-worth requirements, fit & proper criteria to be followed by FME and its directors/controlling shareholders, investment & leverage restrictions for each category, Board & KMP (Key Managerial Personnel) requirements, etc.

Fund Management in IFSC

- A) Fund Management Entities
 - Authorized Fund Management Entity
 - Registered Fund Management Entity (Non-Retail)
 - Registered Fund Management Entity (Retail)
- B) Other Fund Management Activities
 - Portfolio Management Services
 - Investment Trust
 - Family Investment Fund

Type of Funds

Schemes for Fund Management

- Venture Capital Schemes
- Restricted Schemes (schemes for non-retail Funds)
- Retail Schemes
- Special Situation Funds
- Exchange Traded Funds (ETFs)
- Environmental, Social, and Governance (ESG)

A) Type of Fund Management Entities

Particulars	Authorized Fund Management Entity	Registered Fund Management Entity (Non-Retail)	Registered Fund Management Entity (Retail)
Permissible Activities	Managing Schemes investing in start-ups or early-stage ventures through Venture Capital Scheme Managing Family Investment Fund investing in securities, financial products, and other permitted asset classes	Managing Venture Capital and Restricted Schemes investing in securities, financial products and such other permitted asset classes • Portfolio Management Services (including for multi-family office) • Investment Manager of Investment Trust (REITs and InvITs) offered under private placement • All activities as permitted to Authorised FMEs	Managing Retail Schemes investing in securities, financial products and such other permitted asset classes • Investment Manager of Investment Trust (REITs and InvITs) offered to public • Managing Exchange Traded Funds • All activities as permitted to Authorised FMEs and Registered FMEs (for non-retail Funds)
Types of Schemes that can be managed	Venture Capital Schemes	Venture Capital Schemes and Restricted Schemes	All Schemes (retail as well as non-retail)
Launch of New Scheme	Immediately upon filing the Private Placement Memorandum ("PPM") with the IFSCA)	PPM to be filed 21 working days prior to launch of the scheme	Offer document to be filed 21 working days prior to the launch of the scheme • Fund can be launched only after receiving comments from IFSCA and incorporating the same in the offer document

Type of investors permissible	Accredited investors • Minimum investment of USD 250,000 (USD 60,000 for employees/ directors/ designated partners of FME)	Accredited investors • Minimum investment of USD 150,000 (USD 40,000 for employees/ directors/ designated partners of FME)	Retail as well as non-retail investors
Legal Structure of the FME	Company, LLP, Branch	Company, LLP, Branch	Company or Branch of a Company
Minimum Net Worth	USD 75000	USD 5,00,000	USD 10,00,000
Minimum No of Directors	NA	NA	4
Minimum Experience of FME	Employ such employees who have relevant experience	Employ such employees who have relevant experience	FME or its holding company has at least 5 years of experience in managing AUM of At least USD 200 million with more than 25,000 investors; or • One person in control of FME holding more than 25% shareholding/ share in profits carrying on business in financial services for a period of not less than 5 years
Minimum number of Key Managerial Personnel required	1	2	3
Type of Investors Permissible	Accredited investors • Minimum investment of USD 250,000 (USD 60,000 for employees/ directors/ designated partners of FME)	Accredited investors • Minimum investment of USD 150,000 (USD 40,000 for employees/ directors/ designated partners of FME)	Retail and Non Retail Investors
Minimum Experience of FME	Employ such employees who have relevant experience	Employ such employees who have relevant experience	FME or its holding company has at least 5 years of experience in managing AUM of

			at least USD 200 million with more than 25,000 investors; or • One person in control of FME holding more than 25% shareholding/ share in profits carrying on business in financial services for a period of not less than 5 years
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Please refer the notes on accredited investors.

Schemes of Fund Management

Particulars	Venture Capital Schemes	Restricted Schemes (<u>restricted scheme means a scheme under a private placement offer to only —accredited investors or investors investing above USD 1,50,000 and it shall not have more than 1000 investors or such other number as may be specified by the IFSCA</u>)	Retail Schemes (Retail scheme means a scheme offered to all investors or a section of the investors for subscription with no ceiling as to the number of investors in the scheme)
Permissible Investments	Permitted to invest in listed, to be listed as well as unlisted securities, money market instruments, debt securities, securitised debt instruments, schemes of other venture capital schemes, units of Mutual	Permitted to invest in listed, to be listed as well as unlisted securities, money market instruments, debt securities, securitised debt instruments, other investment schemes, derivatives (including	Permitted to invest in listed, to be listed as well as unlisted securities, money market instruments, debt securities, securitised debt instruments, other investment schemes, derivatives (including commodity

	Funds and AIFs (whether in India, IFSC or abroad), LLPs and such other financial products/ assets as may be specified • Investment should be in accordance with the venture capital scheme	commodity derivatives), units of Mutual Funds and AIFs (whether in India, IFSC or abroad) , LLPs and such other financial products/ assets as may be specified • Investment should be in accordance with the investment objective of the scheme • Close ended scheme may invest up to 20% of the corpus in other physical assets such as real estate, bullion, art or any other physical asset as may be specified	derivatives), units of Mutual Funds and AIFs (whether in India, IFSC or abroad) and such other assets as may be specified • Investment should be in accordance with the investment objective of the scheme
Investment in associates of the FME	Permissible, subject to prior approval of 75% investors in the scheme by value	Permissible, subject to prior approval of 75% investors in the scheme by value	25% of Asset under Management
Investment in Instruments	Certificate of deposits, units of investment schemes such as liquid or money market schemes, money market instruments or any other securities or financial assets or instruments as may be specified by IFSCA	Certificate of deposits, units of investment schemes such as liquid or money market schemes, money market instruments or any other securities or financial assets or instruments as may be specified by IFSCA	Certificate of deposits, units of investment schemes such as liquid or money market schemes, money market instruments or any other securities or financial assets or instruments as may be specified by IFSCA
Corpus of the Scheme	Minimum: USD 5 million • Maximum: USD 200 million	Minimum: USD 5 million • Maximum: NA	Minimum: USD 5 million • Maximum: NA

Tenor	Minimum 3 years • Extension upto 2 years permissible with 2/3rd investor's consent	Minimum 1 year for close-ended scheme • Extension upto 2 years permissible with 2/3rd investor's consent	• Minimum 3 years for close-ended scheme • Extension upto 2 years permissible with 2/3rd investor's consent
Number of Investors	NA	NA	Minimum 20 investors, with no single investor investing more than 25%
Maximum Number of Investors	50	1000	NA
Leverage	Permissible, subject to disclosure in the PPM and consent of 2/3rd investors by value	Permissible, subject to disclosure in the PPM and consent of 2/3rd investors by value	Not permissible except to meet temporary liquidity needs for the purpose of redemption or payment of interest or dividend to the investors • Maximum borrowing permissible is 20% of the AUM for a duration not exceeding 6 months
Valuation to be done by	Independent third-party service provider	Independent third-party service provider	Independent third-party service provider
Minimum contribution/commitment from the investor in the scheme	Accredited investors • Investors investing at least USD 250,000 (USD 60,000 for employees/ directors/ designated partners of FME)	Accredited investors • Investors investing at least USD 150,000 (USD 40,000 for employees/ directors/ designated partners of FME)	Open ended scheme: Nil • Close-ended scheme: Nil (USD 10,000 in case investment in unlisted exceeds 15% of the AUM)
Disclosure of NAV	Yearly	Open ended: monthly Close ended: half yearly	Daily (open ended) and weekly for close ended

Other Schemes

Special Situation Funds (SSFs)

- SSFs can be launched by a registered FME
- SSFs are permitted to acquire special situation assets, which includes: - Stressed loan available for acquisition - Security Receipts (SRs) issued by an Asset Reconstruction Company (ARC) registered with the RBI - Securities of investee companies
 - (i) whose stressed loans are available for acquisition,
 - (ii) against whose borrowings, SRs have been issued by an ARC,
 - (iii) whose borrowings are subject to corporate insolvency resolution process,
 - (iv) who has continuing default of loans, subject to conditions
- Only close ended SSFs are permissible, with minimum tenure of 3 years
- Extension of the tenure of the close ended special situation fund may be permitted up to two (2) years
 - subject to approval of two-thirds (2/3rd) of the investors by value:
 - Provided that any further extension beyond two (2) years may be considered subject to express consent of the investors and exit opportunity shall be provided to other investors.
- Scheme corpus, eligible investors, investment conditions may be specified by the IFSCA
- Leverage not permissible except to meet day to-day operational requirements
- A special situation fund shall be constituted in IFSC as a company or LLP or Trust under the applicable laws of India.

Exchange Traded Funds (ETFs)

- Only Registered FMEs (Retail) shall launch Exchange Traded Funds (ETFs)
- ETFs are mandatorily required to be listed on recognized stock exchanges in IFSC
- ETFs include:
 - ✓ Equity Index based ETFs
 - ✓ Debt Index based ETFs
 - ✓ Commodity based ETFs
 - ✓ Gold ETFs
 - ✓ Silver ETFs
 - ✓ Hybrid ETFs (investing in 2 or more asset class)
 - ✓ Actively Managed ETF
 - ✓ Any other ETFs
- Stock exchange may provide a simplified framework for authorization of intermediaries registered with the IFSCA as market makers
- NAV of ETFs are required to be computed on daily basis

Environmental, Social, and Governance (ESG)

- FME managing AUM > USD 3 billion (as against 1 billion in the draft regulations)
 - Establish policy on governance around material sustainability-related risks and opportunities
 - Disclose in its annual report how the FME identifies, assesses and manages material sustainability-related risks
 - Disclose in its annual report the process of factoring sustainability related risks and opportunities into fund manager's investment strategies and processes
 - FME that launches a scheme related to ESG shall make full disclosure regarding investment objective, investment policy, strategy, material risk, benchmark, etc.
 - Scheme documents filed by FME with the IFSCA shall disclose whether sustainability-related risks are incorporated in the decision making. If not, a negative statement shall be included

Equity Index Based ETF

- 1) A FME may launch an ETF replicating an Equity Index of IFSC or Indian or foreign jurisdiction.
- (2) An Equity Index based ETF that seeks to replicate a particular index shall ensure that such index complies with the following norms:-
 - (a) The index shall have a minimum of ten (10) stocks as its constituents;
 - (b) For a sectoral/ thematic index, no single stock shall have more than thirty five percent (35%) weight in the index; and
 - (c) For other than sectoral/ thematic indices, no single stock shall have more than twenty-five percent (25%) weight in the index.
- (3) Equity Index based ETF shall replicate the underlying index to the extent of at least ninety-five percent (95%) of total assets.

Debt Index-Based ETF

- (1) The FME may launch an ETF replicating a Debt Index of IFSC or Indian or foreign jurisdiction.
- (2) A debt index based fund that seeks to replicate a particular index shall ensure that such index complies with the following norms: -
 - (a) The index shall have a minimum five (5) issuers as its constituents;
 - (b) No single issuer shall have more than twenty-five percent (25%) weight in the index; and
 - (c) The rating of the constituents of the index shall be investment grade:Provided that clauses (a) and (b) shall not apply to index-based funds investing in Government securities.
- (3) Debt index-based ETF shall replicate the underlying index to the extent of at least ninety percent (90 %) of total assets:

B) Other Fund Management Activities

1) Portfolio Management Services: Registered FME may offer Portfolio Management Services (PMS) to its clients

Who is eligible to be offered such services: a) Person resident outside India and NRI

b) Resident non-individual Indian eligible to invest offshore under FEMA

- c) Resident individual Indian eligible to invest under LRS
- d) Multi-family office

Eligibility in terms of funding:

- a) Minimum ticket size: USD 150,000 (as against USD 70,000 in the draft regulations)
- b) Funds to be kept in a separate account, to be maintained in a banking unit
- c) To segregate each portfolio management client's holding in securities in separate accounts

Other Services:

- a) Permissible to provide advisory services, subject to compliance with IFSCA (Capital Market
- b) Intermediaries) Regulations, 2021 Minimum ticket size: USD 150,000

Permissible Investments

- a) Permitted to invest in securities and financial products in an IFSC, India or Foreign Jurisdiction
- b) Discretionary PMS: securities listed or traded on the stock exchanges, money market instruments, units of investment scheme and other financial products

Restrictions on Investments

- a) Investment in derivatives subject to express consent of the client
- b) Speculative transactions other than derivative not permissible
- c) Segregation required of each clients' funds and portfolio of securities from its own funds and securities

2) Family Investment Fund:

- Family Investment Fund could be set up in the IFSC as a Company, Trust (Contributory Trust only) or Limited Liability Partnership or any other form as may be permitted by the Authority from time to time.
- A Family Investment Fund in IFSC should have and maintain a minimum corpus of USD 10 million within a period of three (3) years from the date of obtaining certificate of registration
- Leveraging and borrowing permissible, as per their risk management ability
- May be open ended or close ended
- Permissible Investments
 - (a) Securities issued by the unlisted entities;
 - (b) Securities listed or to be listed or traded on stock exchanges in IFSC, India or foreign jurisdictions;
 - (c) Money market instruments;
 - (d) Debt securities;

- (e) Securitised debt instruments, which are either asset backed or mortgage-backed securities;
- (f) Other investment schemes set up in the IFSC, India and foreign jurisdiction;
- (g) Derivatives including commodity derivatives;
- (h) Units of mutual funds and alternative investment funds in India and foreign jurisdiction;
- (i) Investment in Limited Liability Partnerships;
- (j) Physical assets such as real estate, bullion, art, etc.; or
- (k) Such other securities or financial product /assets or instruments as specified by the Authority

3) Investment Trusts

The Regulations also provide for a detailed consolidated regulatory framework for REITs and InvITs. An Investment Trust

is permitted to raise funds through:

- (a) Public issue with units listed on a recognized stock exchange in IFSC; or
- (b) Private placement with units listed on a recognized stock exchange in IFSC; or
- (c) Private placement whose units are not proposed to be listed on any recognized stock exchange.

In case of private placement, any Registered FME may act as Investment Manager to such Investment Trusts. In case of a public issues, a Registered FME (Retail) shall only be eligible to be appointed as an Investment Manager.

1) No initial offer of units by an Investment Trust shall be made unless,—

- (a) the Investment Trust is registered with the Authority;
- (b) the value of assets of Investment Trust is not less than USD 75 million; and
- (c) the offer size is not less than USD 35 million.

(2) The minimum offer and allotment to public through an offer document / placement memorandum in respect of Investment Trust listed on a recognised stock exchange shall be as per the below :

<i>Post Issue Capital</i>	<i>Minimum no./ value of units to be offered</i>
Less than USD 240 million	At least 25% of the total outstanding units of the Investment Trust
USD 240 million or more but less than USD 600 million	At least USD 60 million
Equal to or more than USD 600 million	At least 10% of the total outstanding units of the Investment Trust

For more details on FMEs, Please refer to the circular dated 19.04.2022

Please refer to the notes on REITs and INVITs for further information on them (You can also refer to the video on CPSS on the same topic for more clarity)